

USDA Foreign Agricultural Service

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Global Agricultural Information Network

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India

Oilseeds and Products Update

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Report Highlights:

Assuming normal weather conditions through harvest, India is expected to produce 7.2 million metric tons (MMT) of rapeseed and mustard in marketing year (MY) 2018/19 (October-September) on planted area of 6.9 million hectares. The estimated production is 12 percent above last year on a net increase in planted area and expectation of a near normal yield. Indian oilmeal export sales are reviving while strong vegetable oil demand will push imports to 15.8 MMT, despite higher import duties.

Commodities:

Oilseed, Rapeseed
Meal, Rapeseed
Oil, Rapeseed
Oil, Palm
Oil, Soybean
Oil, Sunflowerseed

Author Defined:**Post Revised the MY2018/19 Rapeseed and Mustard (RM) Production to 7.2 MMT on planted area of 6.9 Million Hectares**

The MY2018/19 rapeseed and mustard production is revised to 7.2 MMT produced from 6.9 million hectares (Table 3). This is based on a preliminary field assessment and assumes a near normal yield¹. The estimated production is 12 percent above last year's official USDA estimate and is subject to further revision based on prevailing weather conditions at the time of harvest. Timely arrival of winter rains in the first half of January was crucial and benefitted crop growth. The temperature during germination to ripening also was optimum and we received no reports of any major incidence of pest and disease infestation.

Favorable weather through the first week of February aided overall growth of the crop. With the exception of lodging at a few locations, wet spells before mid-February, particularly over the northwestern region, likely have had little effect on standing crops since they were in an advanced stage of maturity. However, a recent weather forecast² of continued wet spells through February, including two western disturbances in quick succession, across major rapeseed and mustard growing regions suggests we may experience a delay in the harvest of standing crops and may affect the limited number of crops that were planted late.

Residual Soil Moisture and Stronger RM Price Encouraged Planting

Since the 2018 southwest monsoon withdrew almost 2 weeks later than normal, receipt of above normal rains in the latter half of September encouraged farmers to exploit the **residual soil moisture** (Figure 1) and do timely planting of RM crop in the northwestern and central regions of India. Unlike last year, prevailing temperatures during peak planting time (mid-September to mid-October) were reported as normal (Fig-1). This year, farmers from the northwestern region retained cultivable land for the RM crop, while shifting part of their land parcels from garlic and chickpea to more profitable crops, such as wheat, barley, and seasonal vegetables.

¹ Any upward revision in yield estimate will boost crop production and likewise the opposite will be true if there is a downward revision. For e.g., an additional 0.1 percent increase above current yield estimate will increase total crop production in MY 2018/19 to 7.9 MMT.

² By the Indian Meteorological Department

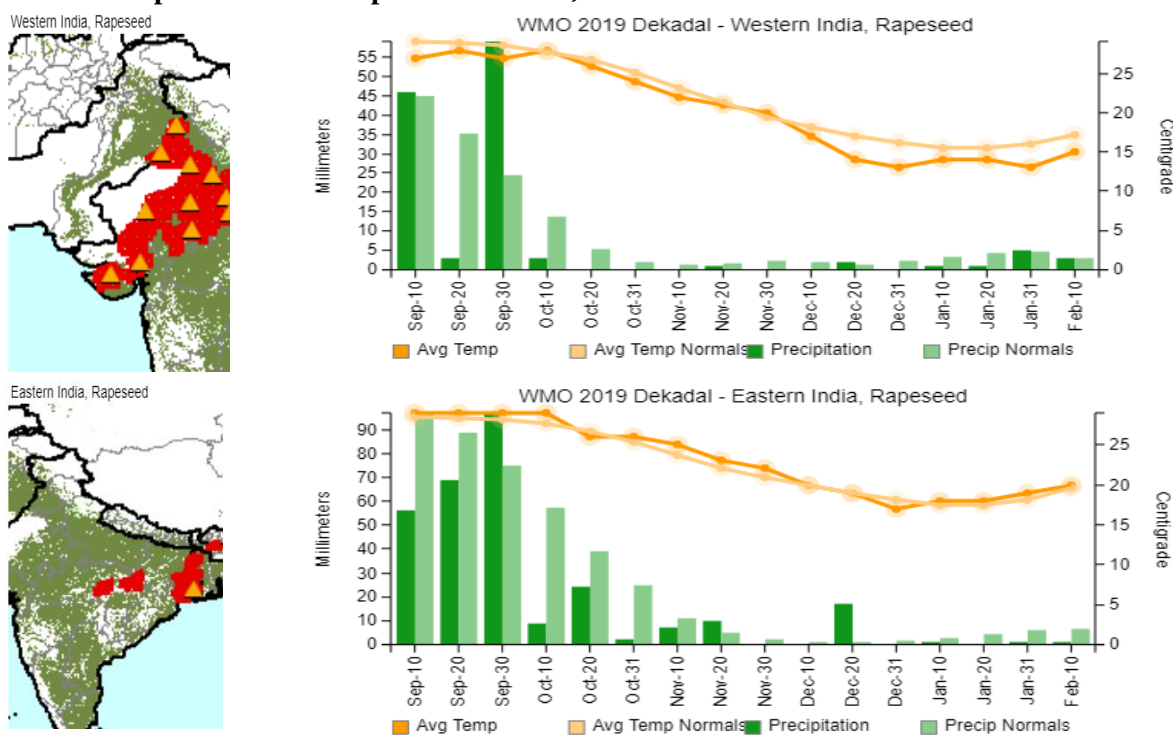
In addition to favorable weather conditions, RM seed prices rallied more than 12 percent since the middle of last year, a nice return for aggressive planting decisions. Presently, the Minimum Support Price (MSP) for rapeseed and mustard crops in MY 2018/19 is ₹ 4200 a quintal, an almost ₹ 200 per quintal increase over last year. Last year, a bonus of ₹ 100 per quintal was proposed in addition to the MSP.

Planted Acres and Water Storage Situation in *Rabi* (winter planted) Season

Winter Oilseeds Planting Acreage Same as Last Year

According to the latest weather watch report from the Indian Ministry of Agriculture (MinAg), *rabi* (winter) oilseed crops -- rapeseed and mustard, peanut and sunflower -- were planted on 7.53 million hectares, nearly flat at last year's level. Uttar Pradesh, Madhya Pradesh, and Rajasthan took the lead for planting more winter oilseeds, but other provinces reported lower than expected planting, including Haryana and Punjab in northern India, West Bengal, Jharkhand, Assam, Chhattisgarh in the east and northeast, and Gujarat in the west.

Figure 1. India: Precipitation and Temperature Profile, MY 2018/19



Source: WMO

Rajasthan Leads Rapeseed and Mustard Crop Planting, Followed by Uttar Pradesh

Among all states growing winter oilseeds, Rajasthan occupies over a third of the total area with most of it being rapeseed and mustard (RM) crop. The total planted area was 2.47 million hectares, almost 390,000 hectares or 19% above last year. Uttar Pradesh accounted for 18 percent of the total area

planted for the RM crop. Incidentally, *taramira* (***Eruca sativa***) and *toria* (***Brassica rapa***) crop planting in Rajasthan and Uttar Pradesh are reported at 97,900 hectares and 440,824 hectares, respectively. Both combined added 538,724 hectares this year compared to 480,000 hectares planted last year and 640,000 hectares (estimated) planted the year before last³.

Northwestern and Central India Received Normal Rainfall Compared to Eastern and Northeastern States

Almost 80 percent of rapeseed and mustard crop production comes from Northwestern and Central India, both of which this year received normal rainfall. (+/- 10 percent of the average rainfall). The water storage across major reservoirs in these regions is better than last year and above its 10-year average, which contrasts with below normal levels in reservoirs in eastern India. Eastern and northeastern states growing winter oilseeds contribute the remaining 20 percent of total produce; those states received 25 percent below normal rains during the 2018 Southwest monsoon. Interestingly, the impact of adverse weather in this region will have little bearing on total winter oilseed production: although the area is a major consumption center for rapeseed and mustard oil.

Table 1. India: Oilmeal Exports, Metric Tons

	Soybean meal	Rapeseed meal	Peanut meal	Sunflower meal	Total
Oct-18	150,388	34,830	0	0	185,218
Nov-18	186,409	86,349	188	0	272,946
Dec-18	170,588	87,106	705	0	258,399
Jan-19	210,166	34,270	0	0	244,436
Oct 18-Jan-19	717,551	242,555	893	0	960,999
Oct 17-Jan-18	524,009	164,438	6,223	0	694,670
% Change	37	48	(86)	-	38

Source: Solvent Extractors' Association of India

Oilmeal Sales Reviving on Purchase by Iran While Sales to China in Limbo

Except for peanut meal, Indian soybean meal and rapeseed meal exports in the first four months of MY 2018/19 (Table 1) gained momentum after three consecutive years of poor sales. The most recent

³ Marginal lands unsuitable for successful production of cereals are used for profitable cultivation of *taramira* and *toria*; however, the yields are comparatively lower than major varieties of rapeseed and mustard crops.

January sales, as compiled by the SEA⁴, indicate smaller shipments mostly destined to France, Iran, Japan, Vietnam and Myanmar, as well as a few other European and Southeast Asian countries.

Prospective export sales of soybean meal and rapeseed meal to China are in limbo, probably due to certain procedural issues. However, India's soymeal sales to Iran are expected to grow since the trade in rupees will help balance the foreign exchange trade surplus earned from Iran's sales of crude oil to India. Currently Iran is buying Indian meal at a premium of more than \$65/metric ton. Further, a 10 percent export incentive for soybean meal (in the form of duty credit scrips under the Merchandise Export from India Scheme, or MEIS) may help offset the higher cost of Indian meal. Once fresh arrivals from other destinations hit the market, international soymeal prices will become more competitive and if local soybean prices remain strong then it will be difficult for processors' to compete even with subsidy. Note: *First four month sales do not include surface shipments to neighbors for lack of corresponding trade data.*

Vegetable Oil Imports in MY2018/19 Revised to 15.8 MMT

Vegetable (edible) oil imports in the first quarter of MY 2018/19 were down 18 percent at 2.8 MMT (Table 2). Based on the latest trade estimates, the total vegetable oil import forecast is revised to 15.8 MMT (14% above last year) and is expected to include 9.5 MMT of palm oil, 3.6 MMT of soybean oil, 2.4 MMT of sunflower oil, and 0.3 MMT of other imported oils. Although international edible oil prices are softening, a higher import duty coupled with a depreciating Indian currency may limit any additional imports. Additionally, the narrow price difference between refined and crude palm will encourage slightly higher imports of RBD palm oils. Among soft oils, sunflower oil imports were revised slightly higher to indicate firm local demand and an improving supply situation in the world markets.

GOI Reduced Import Duty on CPO and RBD Palmolein, Effective January 1, 2019

The basic import duty on crude and refined vegetable oils stands at 35 percent and 45 percent, respectively. A surcharge of 10 percent is levied as social welfare cess on all imported goods, including edible oils.

Under the terms of the India-ASEAN Free Trade Agreement, on December 31, 2018, the Ministry of Finance, GOI issued [Customs Notification No. 82/2018](#). This notification lowered the basic duty on imports of CPO and RBD Palmolein (and all specified goods) from ASEAN countries to 40 percent and 50 percent, respectively⁵. The preceding notification amends notification No. 46/2011-Customs dated June 1, 2011 and takes effect January 1, 2019.

On the same day, the GOI issued another [Customs Notification No 84/2018](#), which provided deeper tariff concessions on imports of CPO and RBD Palmolein from Malaysia under the India-Malaysia comprehensive Economic Co-operation Agreement (IMCECA). Effective January 1, 2019, the basic duties on CPO and RBD Palmolein imported from Malaysia stand at 40 percent and 45 percent,

⁴ The solvent extractors' association of India

⁵ Reference to CPO and RBD palmolein can be found at S.No 129 and S.No 130 at Customs Notification No: [65/2016](#).

respectively. This concession is not available to Palmolein imported from Indonesia or any other ASEAN nation.

Table 2. India: India: Vegetable Oil Imports, 1000 Metric Tons

	Oct-18	Nov-18	Dec-18	Oct 18- Dec 18	Oct 17 - Dec 18	% Change
RBD palm-olein	137	109	130	376	402	6
Crude palm oil	610	568	67	1,245	1,765	29
Crude palm olein	0	0	0	0	0	0
Crude Palm kernel oil	7	15	11	32	21	57
Total palm oil	754	692	208	1,654	2,187	24
Crude soybean oil	264	204	85	553	573	4
Refined soybean oil	0	0	0	0	0	0
Total soy oil	264	204	85	553	573	4
Crude sun oil	157	166	236	558	559	0
Refined sun oil	0	0	0	0	0	0
Total sun oil	157	166	236	558	559	0
Canola Rape oil	0	12	13	25	98	74
Cottonseed Oil	0	0	0	0	0	0
Safflower oil	0	0	0	0	0	
Coconut oil	0	0	0	0	0	
Grand Total	1,174	1,073	543	2,790	3,418	18

Source: Solvent Extractors' Association of India

STATISTICAL TABLES

Table 3. India: Commodity, Oilseed, Rapeseed, PSD						
Oilseed, Rapeseed	2016/2017		2017/2018		2018/2019	
Market Begin Year	Oct 2016		Oct 2017		Oct 2018	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	6600	7056	6600	6700	6500	6940
Area Harvested	6065	7056	6000	6700	6000	6940
Beginning Stocks	469	469	439	439	419	304
Production	6620	6620	6450	6500	6000	7200
MY Imports	0	0	0	0	0	0
Total Supply	7089	7089	6889	6939	6419	7504
MY Exports	0	0	0	15	0	20
Crush	5700	5700	5500	5600	5050	6200
Food Use Dom. Cons.	650	650	650	700	650	750
Feed Waste Dom. Cons.	300	300	320	320	300	340
Total Dom. Cons.	6650	6650	6470	6620	6000	7290
Ending Stocks	439	439	419	304	419	194
Total Distribution	7089	7089	6889	6939	6419	7504
Yield	1.0915	0.9382	1.075	0.9701	1	1.0375
(1000 HA) ,(1000 MT) ,(MT/HA)						

Table 4. India: Commodity, Meal, Rapeseed, PSD

[illegible]

Table 7. India: Commodity, Oil, Soybean seed, PSD[illegible]

Table 8. India: Commodity, Oil, Sunflowerseed, PSD[illegible]

